

Financial Posting of Project accounting in Dynamics 365 for Finance and Operations

1. Introduction:

This document outlines the financial postings for Fixed Price, Time and Material, and Investment projects along with their associated posting types for transactions sourced from:

- Project cost Journal
- Project invoice
- Project On Account
- Eliminate
- Revenue Recognition

Note: Cost can be posted with Hours, Expense, Item journal and vendor invoice but I have covered only Hours journal posting.

2. Fixed Price Project

➤ Fixed Price Project - No WIP postings

Transaction	Posting Type	Account Type	Debit	Credit
Post cost – Hours Journal	Project cost	Balance	X	
	Payroll allocation	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
On-Account Invoice	Customer Balance	Balance	X	
	Revenue On- Account	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
Customer Invoice	Customer Balance	Balance	X	
	Project Invoiced Revenue	Balance		X

Note:

1. Revenue Recognition or estimation process is disable for Fixed Price - No WIP Project
2. User can post customer invoice based on milestone billing.
3. If user post On-account transactions, It will get settled while posting Milestone invoicing.

➤ **Fixed Price Project – Completed Contract WIP**

Transaction	Posting Type	Account Type	Debit	Credit
Post cost – Hours Journal	Project WIP cost	Balance	X	
	Payroll allocation	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
On-Account Invoice	Customer balance	Balance	X	
	Project - WIP invoiced - on account	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
	Project - WIP invoiced - on account	Balance	X	

Elimination	Project - accrued revenue - sales value	P&L		X
	Project - WIP cost	Balance		X
	Project - cost	P&L	X	

Note:

1. In Fixed price Completed Contract process, system will post, cost and recognized revenue at the time of Eliminate process.
2. There will not be any voucher posting at the time of revenue recognition process.

➤ **Fixed Price Project – Completed Percentage WIP**

Transaction	Posting Type	Account Type	Debit	Credit
Post cost – Hours Journal	Project WIP cost	Balance	X	
	Payroll allocation	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
Revenue recognition	Project - WIP - sales value	Balance	X	
	Project - accrued revenue - sales value	P&L		X
	Project - WIP cost	Balance		X
	Project - cost	P&L	X	

Transaction	Posting Type	Account Type	Debit	Credit
	Customer balance	Balance	X	

On-Account Invoice	Project - WIP invoiced - on account	P&L		X
--------------------	-------------------------------------	-----	--	---

Transaction	Posting Type	Account Type	Debit	Credit
Elimination	Project - WIP - sales value	Balance	X	
	Project - accrued revenue - sales value	P&L		X

Note:

1. In Fixed price Completed Percentage process, system will post, cost and recognized revenue at the time of revenue recognition process.

3. Investment Project

Transaction	Posting Type	Account Type	Debit	Credit
Post cost – Hours Journal	Project cost	Balance	X	
	Payroll allocation	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
Cost Estimation	Project - WIP cost	Balance	X	
	Project cost	Balance		X

Transaction	Posting Type	Account Type	Debit	Credit
Eliminate and Capitalization of Fixed Asset	Fixed Asset Acquisition A/c	Balance	X	
	Project - WIP cost	Balance		X

4. Time and Material Project

➤ Time and Material Project - WIP

Transaction	Posting Type	Account Type	Debit	Credit
Post cost – Hours Journal	Project – WIP Cost	Balance	X	
	Payroll allocation	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
Customer Invoice	Project – WIP Cost	Balance		X
	Project cost	P&L	X	
	Project Invoice - Revenue	P&L		X
	Customer Balance	Balance	X	

Transaction	Posting Type	Account Type	Debit	Credit
On-Account Invoice	Customer balance	Balance	X	
	Project - WIP invoiced - on account	P&L		X

➤ Time and Material Project – Accrual

Transaction	Posting Type	Account Type	Debit	Credit
Post cost – Hours Journal	Project – Cost	Balance	X	
	Payroll allocation	P&L		X
	Project - Accrued revenue – Sales Value	P&L		X
	Project - WIP – Sales Value	Balance	X	

Transaction	Posting Type	Account Type	Debit	Credit
On-Account Invoice	Customer balance	Balance	X	
	Project - WIP invoiced - on account	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
Post Invoice	Project - Accrued revenue – Sales Value	P&L	X	
	Project - WIP – Sales Value	Balance		X
	Project Invoiced Revenue	P&L		X
	Customer Balance	Balance	X	

Note:

1. Accrual revenue voucher reversed at the time of Project Invoice posting.

➤ **Time and Material Project – No Accrual and No WIP**

Transaction	Posting Type	Account Type	Debit	Credit
Post cost – Hours Journal	Project cost	Balance	X	
	Payroll allocation	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
On-Account Invoice	Customer Balance	Balance	X	
	Revenue On- Account	P&L		X

Transaction	Posting Type	Account Type	Debit	Credit
Customer Invoice	Customer Balance	Balance	X	
	Project Invoice revenue	Balance		X

➤ **Time and Material Project – Deferred cost and revenue enabled**

Transaction	Posting Type	Account Type	Debit	Credit
Post cost – Hours Journal	Deferred cost	Balance	5000	
	Payroll allocation	P&L		5000

Transaction	Posting Type	Account Type	Debit	Credit
Post Invoice	Deferred revenue	Balance		7000
	Customer Balance	Balance	7000	

Note:

1. Subscription billing module should be enabled.
2. System will create deferral schedule for cost and revenue at the time of project invoice.
3. Actual revenue and Cost will be recorded from subscription billing module.

Hope this will help you.

Cheers :)